Rice sourcing and purchase approvals

Saffron Foods

Saffron Foods is the fictional rice supplier for the Cedar Square supermarket branch in Irbid. The following terms apply to Basmati rice, SKU RICE-51, in 5 kg bags. The agreement is valid 1 October-31 December 2026. Prices are JOD per bag.

Reference item	Recorded value
Purchase cost per 5 kg bag	4.80 JOD
Regular retail price	6.20 JOD
Supplier lead time	4 calendar days
Minimum order	24 bags
Reorder point	36 bags
Stock on 15 October	28 bags

Rules and interpretation

Saffron Foods accepts purchase orders before 13:00 Sunday through Thursday. Orders placed after the cutoff are treated as received on the next supplier working day; the four-calendar-day lead time begins then. Payment is due 21 days after delivery. Damaged bags must be reported within 48 hours. The reorder point triggers a purchasing review and is not itself the order quantity.

Worked example / decision note

The branch is below its reorder point because 28 bags are on hand against a 36-bag threshold. The minimum 24-bag order costs 115.20 JOD. Unit gross profit at the regular retail price is 1.40 JOD before operating costs. Purchasing coordinator Dana Saleh handles supplier claims.

Scope: synthetic test reference only. This document does not create KEEL transactions, change live stock, or establish facts about a real business.